Local level Training-cum-Advocacy Workshop

International Trade and National Development Strategy in India
Voices from the Ground

7 May 2008, Jaipur, India

Introduction

CUTS Centre for International Trade, Economics & Environment (CUTS CITEE) with the support of the Royal Norwegian Embassy, New Delhi, organised a day-long Training cum Advocacy meeting for Farmers, Farmer leaders and Panchayat Representatives[1] entitled **International Trade and National Development Strategy in India: *Voices from the Ground.*** This marked the culmination of rigorous field based research in the Rajasthan state, as a part of the Centre's project on the ***Mainstreaming International Trade into National Development Strategy: A Pilot Project in Bangladesh and India*** (MINTDEV).

The above-mentioned field survey was undertaken in four districts of Rajasthan, namely Barmer, Banswara, Bundi and Hanumangarh. It focused on the exploring the possible reasons behind the lack of expected Development in the Rural Agricultural communities, despite the existence of a number of developmental programmes and policies operational at the State and the local level.

Pursuant to its implied intention, the project research attempted to discover the perceptions of the farmers (in Rajasthan) about what they thought and understood about International Trade. In the same breadth, investigations were made also to understand how they perceived (any) developmental initiatives/ programmes undertaken by the government. It was assumed that with answers to this line of questioning, the researchers would be able to arrive at an answer to ***Is the Stage set for Mainstreaming International Trade in to National Developmental Strategy?*** (www.cuts-ctee.org/pdf/REPORT08-05.pdf). The findings of this study were revealing, and threw up some facts which demanded urgent attention.

It was found that levels of knowledge on International Trade and Globalisation were appallingly low. And, knowledge about existence and access to information regarding the supply of support systems in the form of governmental schemes and policies for the grassroots were equally low.

Given this background, it was considered imperative that for very first of its initiatives for advocacy under the MINTDEV project, the knowledge gap discovered by the field study needs to be addressed. In response to this need, CUTS CITEE organised Training cum Advocacy workshop which would broadly aim at demystifying the contents of globalisation and international trade and its impacts on agriculture and agriculturists. Also, it would throw light on the importance of good governance at every level including efficiency of governance at the local level, i.e. the Panchayti Raj Institutions. The workshop, it was envisioned, would provide a forum for fruitful group discussions involving stakeholders who would share views and reflect upon strategies to integrate international trade in to national development.

[1] Local governance representatives at the village level

Objective

The objectives of this workshop were to:

- demystify the contents of globalisation and International Trade and its impacts on agriculture and agriculturists;
- impress upon the target audience, the importance of a participatory approach involving the relevant stakeholders in the policy making process and implementation;
- throw light on the importance of good governance at every level including efficiency of governance at the local level i.e. the Panchayti Raj Institutions (PRIs); and
- serve as a forum for fruitful group discussions involving stakeholders who would share views and reflect upon strategies to Mainstream International Trade in to National Developmental Strategy.

The Participants

The workshop was attended by 42 participants who included, farmers, representatives from farmer associations in Rajasthan, PRI representatives and local level leaders of political parties. Three resource persons with demonstrated expertise in their respective fields conducted various sessions of the workshop. Siddhartha Mitra, Research Director, CUTS International handled a session on basic concepts in international trade and economics. Atul Kaushik, Advisor (Projects), CUTS International, made a presentation on his experiences relating to the policy aspect of international trade while emphasising the significance of a participatory approach in policy formulation issues and implementation. He has been a Deputy Secretary in the Department of Commerce, Government of India. Arti Joshi, a freelance Master Trainer, associated with the Indira Gandhi Panchayat Raj Sansthan (IGPRS) conducted a session on understanding roles and responsibilities at the farmers' level as well as at the Panchayat level, for a more holistic and democratic participation in the international Trading system.

Demystifying International Trade

Siddhartha made a presentation on ***International Trade: India and the Rest of the World***to the target audience in simple colloquial Hindi. This included a slide presentation containing basic economic concepts such as the meaning of:

- international Trade,
- imports,
- exports,
- balance of Payments,
- gross national income.

He explained why and how international trade occurs. During his presentation he tried to demystify several misconceptions, one of them being that international trade and economic transactions takes place only by using US Dollars, and not Indian Rupees.

Siddhartha delivering his presentation on international trade

Towards the latter part of his presentation he focused on the recent changes in the Indian economy. For example, he looked at the 1980s when the Government of India put a stop to the license, quotas, and spurred the hitherto protected industrial sector to increase its production and thereby, contributing much to the economic growth of the country. This was only a first step towards reforming the economy. In 1991, he explained, India's trade liberalisation marked a reduction in tariff barriers for imports and an easing of restrictions on exports. He mentioned that the total exports in 1991 amounted to six percent of India's national income, but after liberalisation this share has grown and currently stands at 15 percent.

Finally, Siddhartha alluded to the agricultural sector in India, and mentioned that in 1997, there was a reduction in tariffs for imports of some agricultural products such as cotton and oilseeds; this had a positive impact the domestic demand on these items. At the same time there was a chance for opportunities to increase the Indian agricultural exports, thereby providing an opportunity for the farmers to increase their incomes. He emphasised that international trade was a tool in the hands of the farmers, which if properly used could bring them benefits. Unfortunately, it has been largely painted as a dangerous foe.

In conclusion he stressed that, there are a number of schemes in place which can help the farmer in getting to know about how to export different types of agricultural produce. He mentioned that this information is vital, and more information can be obtained from the relevant Panchayat Officials. He added that care should be taken about the prescribed Sanitary Standards, which would be taken into account for every exportable consignment.

Experiences relating to Public Administration in International Trade

Atul Kaushik, began his presentation with a question: *Aap mein se kitno ne GATT ya Dunkel ke baare mein suna hai?* Translated, it means, "How many of you have heard about the GATT or the Dunkel Draft?" While, admittedly, there were only a few responses in the affirmative to that question (one said he had heard about the Dunkel, and there said they have heard about the GATT), it got the group's attention to what was to follow in the rest of the session.

Atul making his presentation on Public Administration in International Trade

He began with a brief history of public administration in international trade. He threw light on some interesting facts about the distribution of roles and responsibilities amongst the various ministries in India. The Ministry of Commerce & Industry, he explained, was responsible for administering international trade since independence. This was distinctly different from the Ministry of External Affairs, which looks after India's strategic or political interests. The Ministry of Commerce & Industry did not involve any other government agency in matters regarding international trade until 1986 when the Revenue Department got involved, given the tariffs negotiations. Later on the Department of Industry got involved (mainly on issues relating to intellectual property rights) and the Ministry of Agriculture got involved (for agricultural reforms) in the 1990s.

He threw light on the Uruguay Round which took place in 1994 after which the World Trade Organisation (WTO) was established in 1995.But his focus was not so much on the contents of the Uruguay round, but the emerging need for reforms in public administration. This need became apparent because at that point of time, everyone (including ministries, industry, civil society, businesses et al) wanted to know about the functions of the WTO and its relevance to the Indian economy.

At this point Atul, brought to the fore the main thrust of his session, which was to elaborate on how the lack of engagement of the stakeholders by the administration can result in reforms that are painful for both parties. He gave examples of such painful reforms by citing cases such as:

- where departments were brought together on a common forum for understanding the WTO agreements who often did not feel involved;
- of forming smaller inter-ministerial groups to bring out papers to explain the contents and the implications of the WTO agreements – this process was disrupted by sudden and unexpected demands by the various beneficiary departments, where government officials from other ministries were sent to Geneva (WTO headquarters) to see for themselves the importance of the Multilateral trading system; and
- of creating a Trade Policy Division of the Department of Commerce, which was much more transparent, less secretive and more forthcoming in sharing trade experiences and knowledge with others.

Other reforms focused on bringing on board the business and the civil society organisations working on public interest. This was done by a number of meetings and workshops with the industry associations.

Yet another reform was when the Department of Commerce focused on legitimising the WTO disciplines amongst a larger set of stakeholders. Finally, reforms were undertaken to increasing the staff in general, and in the Trade Policy Division in particular which increased four times. The strength of the Indian mission to the WTO was also increased three times. WTO Cells were created in major ministries (agriculture, finance, small & medium enterprises) and similar WTO Cells were created by business associations as well as state governments.

The following are some useful lessons learnt from the experiences relating to such reforms:

- The period from 1995 to 1999 was very difficult for the Department of Commerce as they had to bring on board a large number of stakeholders that felt left out during the Uruguay Round negotiations. The elaborate transparency and capacity building exercises undertaken in that period have brought a feeling of belonging to them.
- Transparency (to the extent that it does not harm negotiating positions) and capacity building exercises are better done while negotiating, not after.

Understanding the Roles and Responsibilities of the PRI Representatives

Aarti started with a game called *Neta-Neta Chaal Badal* (leader-leader change the action). Although this game was meant to get the group to interact with one another, it also served a broader purpose of demonstrating the significance of 'leadership', as even imitated actions might seem genuine if followers are comfortable with it.

Aarti involving everybody in the group

She used different methods to get the group to understand (their) roles and responsibilities as elected representatives of the PRI in particular, and the masses in general. She got the group to create a 'web of confusion', when she allotted roles such as Block Development Officer (administrative head of a block in a district, Sarpanch (head of a Gram Panchayat), Sachiv Sachiv (Secretary of a Gram Panchayat), banker, commission agent, farmer, and her husband (also a farmer). The issue given to the group was very simple; the farmer-couple wants to sell their produce, but did not know how to go about it. Hence, they began asking different people they encountered, who with their 'uninformed guidance' created the 'Web of Confusion' for the couple.

This group exercise made clear some very pertinent points that the MINTDEV project has revealed in its findings. There is a lack of knowledge about where to go and to whom to go at the time of need, with regard to not just selling of a produce (as illustrated in this game) but also at the time of an emergency such as a crop-failure or a natural calamity. This game brought to the fore the point that the PRI representatives and the rural-folk urgently need to revisit their roles and responsibilities towards themselves and their society.

The 'Web of Confusion'

Aarti broadly described some statistics about local governance in Rajasthan, such as the total number of Gram Panchayats (at the village level), the total number of Panchayat Samitis (at the block level), and the total number of Zilla Parishads at the state level.

Finally, she threw light on the broad roles and responsibilities of Sarpanchs and other elected PRI representatives, especially on economic matters. While making all such information available to the group, she clarified that every district and, more specifically every block has its own uniqueness. Hence, the leadership should take into consideration this difference and then make way for development and democracy to work. There cannot be a blanket rule which applies to all.

Voices from the Ground

Participants offering comments

At the closing of the workshop, the participants offered the following comments and recommendations:

- Sarpanch is the most important official in a village. He is responsible for taking forward the needs of people to the next level of administration, so that a positive change may be brought about.
- Better informed representatives having demonstrative capability and responsibility to be able to assess the needs of the people should be elected.
- Public education in economic literacy should be promoted in rural areas in a big way.
- Women's reservation PRIs, which has now increased from 33 percent to 50 percent in the state of Rajasthan, is a positive step and has helped women to become politically empowered and this is having an impact on social empowerment.
- Community feeling needs to be inculcated among all the rural-folk because change can occur only if there is a united stand.
- Sarpanchs need periodic training on economic policy matters and their impact on livelihoods.